COURSE

OCR GCSE (9-1) in Business (J204)

Financial ratios

5. Finance · 5.3 Revenue, costs, profit and loss: profitability ratios

Revision for 5. Finance: each firm works it out on its own deals.

Class **OCR GCSE Business (J204)** Topic **Financial ratios**

THE LESSON

Setup	3 min

Round 1 — Decisions 3 min · Deals 5 min · Topic tasks 4 min

Firm decisions	**Deals**	**Topic task 1**	**Topic task 2**

Round 2 — Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 3 min

Firm decisions	**Deals**	**Topic task 3**	**Topic task 4**	**B2B deal**

Round 3 — Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 3 min

Firm decisions	**Deals**	**Topic task 5**	**Topic task 6**	**B2B deal**

Final questions	3 min

Fits a 30-minute lesson setting; longer settings add more deals.

Each step

Firm decisions	Each role makes its decision on its own page.
Deals	Each pupil trades with a classmate in another firm.
Topic task	The firm answers together. Everyone presses Agree.
B2B deal	One firm sells a lot of cars to another firm.
Final questions	Each pupil answers six questions.

Firm decisions

CEO	**Staff**	Hire staff. Each costs a salary and gives one benefit.
	Sabotage FROM ROUND 2	Hit a rival firm's cash, at a cost. A Legal Counsel blocks it.
Sales & Marketing	**Marketing**	Book one advert campaign to lift the next sales.
Finance	**Capital & Loans**	Borrow cash. The firm pays it back with interest.
	Investments FROM ROUND 2	Buy property or funds. The value can rise or fall.
Operations	**Seasonal stock**	Order the season's cars in advance.

B2B deal · Rounds 2 and 3

One firm sells a lot of 3 cars to another firm (4 in Round 3). With an odd number of firms, two firms offer to sell and the lower price wins.

Topic tasks

Each firm gets its own figures. The method is the same for every firm.

Task 1

ROUND 1

Last year's accounts.

Gross profit margin, as a %?

WORK OUT THE NUMBER · EXAMPLE FIGURES

Cars sold	**12 cars**
Price per car	**£16,500**
Gross profit	**£45,540**

METHOD

Gross margin = gross profit ÷ (cars × price) × 100

12 × £16,500 = £198,000; £45,540 ÷ £198,000 × 100 = 23%

Why: It keeps 23p of every £1 of sales before overheads.

Task 2

ROUND 1

Gross profit margin stayed the same, but net profit margin fell.

Which two could explain this?

PICK TWO

- ○ Cars cost more to buy
- ○ More cars were sold
- ○ Prices were cut
- ✔ **Rent rose**
- ✔ **Staff wages rose**

Why: Only overheads come between gross and net profit.

Task 3

ROUND 2

Three dealers: sales and gross profit for the year.

Order by gross margin, highest first?

PUT THESE IN ORDER, FIRST TO LAST · RIGHT ORDER

1. **Sales £80,000, gross profit £24,000**
2. **Sales £200,000, gross profit £50,000**
3. **Sales £500,000, gross profit £100,000**

Why: Margins 30%, 25%, 20%: the biggest profit has the lowest margin.

Task 4

ROUND 2

Two years compared.

Gross margin change, in % points?

WORK OUT THE NUMBER, THEN PICK IT · EXAMPLE FIGURES

Sales, last year	**£200,000**
Gross profit, last year	**£32,000**
Sales, this year	**£190,000**
Gross profit, this year	**£47,500**

METHOD

Change = this year's margin – last year's margin (gross profit ÷ sales)

£47,500 ÷ £190,000 = 25%; £32,000 ÷ £200,000 = 16%; 25 − 16 = 9 points

Why: The margin went from 16% to 25%.

Task 5

ROUND 3

You want a higher gross profit margin.

Which change works, and why?

PICK A OR B AND GIVE A REASON

- ✔ **Buy cars more cheaply**
- ○ Cut the showroom rent

Why: Rent is an overhead; gross margin is price less the cost of the cars.

Task 6

ROUND 3

Overheads are going up.

New net profit margin, as a %?

WORK OUT THE NUMBER · EXAMPLE FIGURES

Sales	**£200,000**
Gross profit	**£19,900**
Overheads	**£9,000**
Overheads rise by	**10%**

METHOD

Net margin = (gross profit – new overheads) ÷ sales × 100

£9,000 + 10% = £9,900; £19,900 − £9,900 = £10,000; ÷ £200,000 = 5%

Why: Work out the new overheads first, then the margin.

Final questions

6
questions for each pupil

150
Level 2 Business questions

9
of them on financial ratios

The game draws 6 of the 150 Level 2 questions; these 9 are about financial ratios.

1 A dealership has gross profit of £60,000 and sales revenue of £150,000. What is its gross profit margin?
40%.

2 A motor business records net profit of £18,000 and sales revenue of £120,000. What is its net profit margin?
15%.

3 A workshop has £30,000 gross profit and a 30% gross profit margin. What is its sales revenue?
£100,000.

4 A dealership expects £80,000 sales revenue and sets a target net profit margin of 6.25%. What net profit would meet the target?
£5,000.

5 A promoted line's gross profit stays £30,000 while sales revenue rises from £84,000 to £90,000. What is the new gross profit margin?
33.3% (approximately).

6 A dealer's net profit stays £12,000 while sales revenue rises from £96,000 to £120,000. What happens to net profit margin?
It falls by 2.5 percentage points.

7 The Finance lead divides £140,000 sales revenue by £21,000 net profit and reports a 6.7% net profit margin. What is the correct margin?
15%.

Final questions

8 Sales revenue rises but net profit margin falls. What should the Finance lead investigate?

Whether costs rose faster than revenue.

9 Gross profit margin = gross profit ÷ revenue × 100. Revenue is £600,000 and gross profit £150,000. Using the formula, what is the gross profit margin?

25%.